

business by at least 2-3x," he says, adding that under the Edge strategy, the firm continues to remain invested in business as long as "the conviction sustains". Goel is positive on healthcare, information technology, renewables, manufacturing, infrastructure, and defence sectors.

Gurpreet Sidana, CEO of Religare Broking, says while investing in mid- and small-cap stocks, one should prefer counters with reasonable valuations, healthy future growth prospects, and better financials—either debt-free or with low debt. "At present, many large-cap companies are trading at an attractive valuation as compared to mid-cap and small-cap, which gives comfort for investment."

Besides the equity segment, PMS players also operate in the debt segment, where the best performer was Maximal Capital's Income Fund, which delivered 34.39% returns in the last one year, per PMS Bazaar. Next on the list are Profusion Investment Advisors' Income Enhancer (with 12.84%), Karvy Capital's Excel (11.77%), Estee Advisors' I-Alpha (11.69%), and Northern Arc Investment Managers' Income Builder Series B (11.53%). "Markets tend to react before the start of a rate-cutting cycle, and the current yields offer a good opportunity for investors to increase their allocation to fixed income as slowing growth and moderating inflation are likely to lead to rate cuts in 2024," says Puneet Pal, Head of Fixed Income, PGIM India Mutual Fund. In general, when interest rates are cut by the central bank, the prices of existing bonds in the market tend to rise. This is because newly issued bonds offer lower interest rates compared to older bonds.

Benchmark indices such as the BSE 500 Total Return Index (TRI) and the Nifty 50 TRI gained 39.47% and 28.49%, respectively, in the past one year. On the debt side, the CRISIL Composite Bond Fund index and the CRISIL Credit index gained 8.57% and 11.68%, respectively, during the same period.

THE WAY AHEAD

Experts believe that in 2024, the equity markets will be shaped by a confluence of factors. The trajectory of the interest rate cycle, particularly actions by the US Federal Reserve, will remain paramount. An early pivot towards

rate cuts could bolster markets, while a continued hawkish stance will dampen sentiments. Additionally, major elections, particularly the US presidential race and the General Elections in India, will be closely watched to determine the market's trajectory. Corporate earnings for Q3FY24 in India painted a sanguine outlook for FY25, making the valuation of markets attractive.

Geopolitical tensions, specifically the Red Sea crisis and instability in the Middle East, pose significant risks. Disruptions to energy supplies or a broader conflict could trigger market volatility, along with a delay in expected rate cuts, say experts. In the short term, there are expectations that the markets can face some more correction in the micro-, small-, and mid-cap space.

"We are bracing for a possible 20% decline from the highs in the mid-cap index, suggesting a period of adjustment and realignment within these segments. Conversely, large caps present a more stable investment avenue where we still identify intrinsic value," says Garg of Invasset, adding that gold is another asset class where he foresees potential. Gold gained 12% to ₹62,010 per 10 gm in the last one year till February 2024. Of late, gold scaled its lifetime high of more than ₹70,000 per 10 gm in April. "In these turbulent times, the adage to 'be fearful when others are greedy' resonates profoundly with our investment philosophy. We advise investors to navigate the market landscape with caution, emphasising the

importance of capital preservation and the judicious identification of opportune moments for investment."

Pathak of Asit C Mehta says the markets would remain volatile in the next few months due to major domestic events. "Any disappointment in quarterly results could keep the markets under pressure. Global events and geopolitics will also play an important role," he says, adding that FY25 is expected to be a year of consolidation after the run-up over the past one or two years. "Having said that, there will be pockets and themes where decent returns can be made."

For the investor, there is much to look forward to. **BT**

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EXPERTS SAY THAT A CONFLUENCE OF FACTORS WILL SHAPE EQUITY MARKETS IN 2024; THE US FED ACTION ON THE INTEREST RATE WILL REMAIN PARAMOUNT

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